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Is Your Serviced Apartment Actually Profitable?

The 10-Minute Financial Health Check for Hospitality Operators

Revenue is not profit. Occupancy is not success.
Here are the 5 numbers that tell you the truth.

What's inside:

- Why high occupancy doesn't always mean high profit
- The 5 financial metrics every operator should track
- How to calculate each one (with Nigerian benchmarks)
- How these numbers interact — the profitability matrix
- A free monthly health check worksheet you can use today
- What automated financial tracking looks like at scale
- A self-assessment to score your property's financial visibility

A free diagnostic tool by Algolog Limited | spacer.so

REVENUE IS NOT PROFIT

Why Busy Doesn't Mean Profitable

The most common thing we hear from serviced apartment operators is: "We had a great month — we were almost fully booked!" But the question that matters is different: were you actually profitable?

High occupancy does not equal high profit. You can be 80% occupied and still losing money if:

- Payments aren't being collected properly. Guests confirm bookings, say they'll transfer, and the payment never arrives — or arrives partially and no one follows up.
- Staff costs eat into margins during peak periods. When you're fully booked, you need more cleaning, more reception coverage, more maintenance responses. Those costs scale with occupancy, but revenue only scales if rates hold.
- You're discounting too aggressively without tracking the impact. Running a 30% discount to fill rooms feels like a win until you realise the rooms would have filled at 15% off — or even at full rate with better visibility.
- Utility and maintenance costs aren't allocated per room. You know your total electricity bill, but do you know what each room costs you to operate per night? Without that number, you can't price accurately.
- Guest acquisition cost is higher than you think. Every new guest costs marketing spend, staff time, platform fees, and onboarding effort. If you're spending NGN 15,000 to acquire a guest who books one night at NGN 25,000, the math doesn't work.

The flip side is equally important: Low occupancy does not equal failure. A property at 55% occupancy with premium rates, strong payment collection, and a 40% guest return rate can outperform one at 85% occupancy with low rates and payment gaps.

"The question isn't 'how busy are we?' It's 'how much of what we earn do we actually keep?'"

THE 5 NUMBERS EVERY OPERATOR SHOULD KNOW

These are the five metrics that separate operators who are truly profitable from those who are just busy. Each one takes less than 2 minutes to calculate.

1 OCCUPANCY RATE

The percentage of your available room-nights that are actually booked and occupied.

Occupancy Rate = (Booked Room-Nights ÷ Total Available Room-Nights) × 100

Example: 10 rooms × 30 days = 300 available room-nights. If 195 were booked, occupancy = 65%.

Benchmark: 60–75% is healthy. Below 50%: pricing or visibility problem. Above 80%: you may be undercharging.

2 RevPAR (Revenue Per Available Room-Night)

The single most important metric in hospitality. It combines how full you are with how much you charge, giving you one number that tells you how well your rooms are performing.

RevPAR = Total Room Revenue ÷ Total Available Room-Nights

Or simply: RevPAR = Occupancy Rate × Average Nightly Rate

Example: Average rate NGN 30,000 × 65% occupancy = RevPAR of NGN 19,500. This means each room — booked or not — generates NGN 19,500/night on average.

Benchmark: For mid-range Abuja serviced apartments (NGN 25K–35K/night), a RevPAR of NGN 16,000–22,000 indicates healthy performance.

> "This is the one number that tells you more than any other. It combines how full you are with how much you charge."

3 PAYMENT COLLECTION RATE

The percentage of money you invoiced that you actually received. This is where many Nigerian serviced apartments lose money without realising it.

Collection Rate = (Total Payments Received ÷ Total Payments Invoiced) × 100

Benchmark: 95%+ is where you should be. Below 90% means you have a serious collection problem directly reducing your profit.

Common causes of leakage:

- Unconfirmed bank transfers ("I'll send it now" — and then silence)
- Cash payments not recorded by staff
- Partial payments not followed up to completion
- Deposits collected but balance never converted to full payment

THE 5 NUMBERS (CONTINUED)

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GUEST RETURN RATE

The percentage of your guests who have stayed with you before. This is your most powerful profitability indicator because returning guests cost almost nothing to acquire.

Guest Return Rate = (Returning Guests ÷ Total Guests in Period) × 100

Benchmark: 25–40% is good. Above 40% is excellent. Below 20%: your guest experience needs attention.

Why this matters: A returning guest costs you almost nothing to acquire. They already know your property, they've had a good experience, and they book directly — no marketing spend, no platform fees, no onboarding time. Every percentage point increase in your return rate directly increases your profit margin.

5

COST PER BOOKING

How much it costs you to service a single booking, including all operating costs. This is the number most operators have never calculated — and it's often the reason properties that look busy aren't actually profitable.

Cost Per Booking = Total Operating Costs ÷ Total Bookings in Period

Operating costs include: staff salaries (proportional), marketing spend, utilities, maintenance, cleaning, platform/payment fees, and consumables.

Benchmark: Should be less than 30% of your average booking value. If your average booking is NGN 90,000 (3 nights at NGN 30,000), your cost per booking should be under NGN 27,000.

> "If it costs you more to service a booking than you're making from it, you're running a charity, not a business."

HOW THESE NUMBERS CONNECT

The Profitability Matrix

These five numbers don't exist in isolation. They interact, and the combination tells you more than any single metric. Here are the four most common patterns we see:

High occupancy + Low collection rate
"You're busy but broke."

You're filling rooms, but the money isn't making it to your bank account. This is one of the most common traps for Nigerian serviced apartments — the property looks successful, but the actual cash collected tells a different story.

Low occupancy + High rate + High return rate
"Premium and sustainable."

You don't need to be fully booked to be profitable. If you're charging premium rates, collecting efficiently, and guests keep coming back, you have a strong, sustainable business.

High occupancy + High cost per booking
"Working hard, keeping little."

You're always busy, your staff is stretched, but at the end of the month there's not much left. Your costs are scaling faster than your revenue.

Low occupancy + Low return rate
"Leaking from both ends."

Not enough guests are coming in, and the ones who do come aren't coming back. This requires attention on both acquisition and experience.

> "Most operators only look at occupancy. That's like judging a restaurant by how full it is without checking if customers actually paid."

THE FREE FIX — YOUR MONTHLY HEALTH CHECK

This is the tool. Print it out or copy it into a spreadsheet. Fill it in on the 1st of every month. It takes 10 minutes.

Monthly Financial Health Check Worksheet

Metric	Your Number	Benchmark	Status
Occupancy Rate	___%	60–75%	
RevPAR	NGN ___	NGN 19,500+	
Collection Rate	___%	95%+	
Guest Return Rate	___%	25–40%	
Cost Per Booking	NGN ___	<30% of avg booking	

Fill this in on the 1st of every month. After 3 months, you'll see trends that would have taken years to notice otherwise.

What to do with your results:

- Occupancy below 60%? Focus on visibility and pricing. Are you listed on enough platforms? Is your pricing competitive? Could you run midweek or off-peak promotions?
- Collection below 90%? Tighten payment rules immediately. No check-in without confirmed payment. Assign one person to reconcile daily.
- Return rate below 20%? Your guest experience needs work. Look at reviews, survey past guests, and identify friction points in the stay.
- Cost per booking above 35%? Look for automation opportunities. Where are you spending staff time on things a system could handle?

An honest note:

This worksheet gives you monthly snapshots. That's genuinely valuable — most operators don't even have this. But the real power comes from tracking these numbers daily, seeing trends in real time, and getting alerts before problems become losses.

A monthly snapshot tells you what happened. Daily tracking helps you change what's happening.

THE AUTOMATED FIX — RUNNING ON DATA

This is what the same five metrics look like when they're tracked automatically, updated in real time, and connected to your bookings, payments, and operations.

What automation delivers:

1. **Live dashboard with all 5 metrics updated in real time.**
   Open your laptop or phone, and your occupancy rate, RevPAR, collection rate, return rate, and cost metrics are right there — current as of this moment.

2. **Automatic occupancy and RevPAR tracking.**
   No manual counting of room-nights. The system calculates it from your live bookings.

3. **Payment collection tied to bookings.**
   The system flags unpaid bookings automatically. No transfer goes untracked. Every invoice has a status: paid, pending, overdue.

4. **Guest profiles that track return visits and lifetime value.**
   You know which guests have been 3 times, which ones prefer specific rooms, and what each guest is worth to your business over time.

5. **Cost tracking per room, per booking, per month.**
   You know exactly what each room costs to operate and what each booking costs to service.

6. **Automated alerts when metrics dip.**
   Occupancy dropping below threshold? Collection rate falling? A room empty for 3+ days? The system flags it before it becomes a trend.

7. **Monthly performance reports generated automatically.**
   No spreadsheet work. No manual calculations. A complete financial health report for your property, every month, without lifting a finger.

This is what Spacer delivers. Not just a booking system — a profitability engine for your property.

Managing 500+ bookings monthly across properties in Abuja and Kaduna. Real-time dashboards, automated payments, guest profiles, smart lock access, occupancy analytics, and financial reporting — all in one platform.

YOUR FINANCIAL HEALTH SCORE

Answer these five statements honestly. Count how many are true for you.

#	Statement	Yes / No
1	I can't tell you my exact occupancy rate for last month	
2	I don't know what percentage of invoiced payments were actually collected	
3	I have no idea what percentage of my guests are returning guests	
4	I've never calculated my cost per booking	
5	I don't know my RevPAR — or I'd never heard the term before today	

Your score:

0–1: You're tracking the right numbers. Fine-tuning will unlock more. A system like Spacer would help you automate what you're already doing well and surface insights you can't see manually.

2–3: You're flying partially blind. These gaps are likely costing you NGN 500K–1.5M monthly in missed opportunities — not because you're doing something wrong, but because you don't have the visibility to do it better.

4–5: You're running your property without a dashboard. The numbers you don't track are the ones that cost you the most. The good news is that every one of these metrics can be tracked automatically once the right system is in place.

FREE 15-MINUTE PROPERTY TECH AUDIT

We only do 10 of these per month so we can give each property our full attention.

In 15 minutes, we'll review how your property currently tracks these five metrics, identify the biggest gaps, and show you what the fix looks like — whether you use Spacer or not.

No obligation. No pressure. Just a useful conversation.

Book your free audit:

Call/WhatsApp: Yasmin Umar — +234 706 905 7925
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This diagnostic tool was prepared by Algolog Limited, a Nigerian technology company that builds management systems for hospitality and workspace businesses. Our platform, Spacer (spacer.so), manages 500+ bookings monthly across properties in Abuja and Kaduna.

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